Project Scope Summary

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Problem Description

Income in the entertainment industry is highly concentrated, with a small group of top earners capturing the vast majority of total earnings. This has raised long-standing concerns about fairness and sustainability, especially for middle and lower-tier creators who often face unstable or insufficient incomes. While progressive taxation and platform redistribution mechanisms exist in general labor markets, how they apply—or fail to apply—to creative industries remains underexplored. This project addresses that gap by asking: *can we design a more balanced and efficient redistribution rule tailored to the entertainment sector*?

Proposed Approach

The project will combine real-world stylized facts and economic modeling to simulate and evaluate tax-based redistribution strategies. The process includes:

1. Analyzing the current state of income distribution using publicly available data (e.g., Forbes rankings, SAG-AFTRA reports, labor statistics), and calibrating a synthetic distribution (e.g., Pareto or log-normal) to reflect known inequality patterns (such as Gini coefficients, top 10% income shares).
2. Designing a new redistribution rule—such as imposing an additional tax on top earners or introducing targeted subsidies for low-income creators—grounded in real policy debates.
3. Building a simulation model of agents representing different tiers of earners (top, middle, long tail), and applying both baseline and new tax regimes.
4. Evaluating and comparing outcomes using standard inequality metrics (e.g., Gini index, P90/P10 ratio), as well as social welfare indicators and incentive-related diagnostics.

Proposed Deliverables

- A simulation-based policy evaluation model.
- A clearly defined new redistribution mechanism tailored to the entertainment context.
- Quantitative comparisons of baseline and reformed outcomes, supported by charts and tables.
- A brief report discussing key insights, trade-offs, and policy implications.

Weekly Project Timeline (June 29 – August 30)

Week	Dates	Main Tasks	Deliverables
1	**Jun 29 – Jul 7**	Finalize income distribution (log-normal or Pareto); Generate agent-based income data; Implement baseline tax function based on real-world schedule.	Simulation-ready agent income dataset; Baseline post-tax income output.
2	**Jul 8 – Jul 14**	Design new redistribution mechanism (e.g., surtax, subsidy); Implement new policy in simulation; Run simulations under both tax regimes.	Simulation outputs under baseline and reformed tax rules.
3	**Jul 15 – Jul 21**	Compute inequality metrics (Gini, P90/P10); Visualize distributional change; Analyze income-tier impacts.	Charts, tables, and comparison figures.
4	**Jul 22 – Jul 28**	Draft mid-term report or slide deck; Frame early findings and tax design rationale.	**Mid-term deliverable due July 31.**
5	**Aug 1 – Aug 7**	Conduct sensitivity analysis; Write discussion and evaluate tradeoffs.	Robustness figures and policy discussion draft.
6	**Aug 8 – Aug 14**	Write introduction, literature review, and methodology.	Draft of the first half of the paper.
7	**Aug 15 – Aug 23**	Finalize analysis, conclusion, references; Clean up visualizations and formatting.	Full draft of final report.
8	**Aug 24 – Aug 30**	Final proofreading and formatting and Submit report;	**Final report due August 30.**